

ALLEGHENY COMMERCIAL RISK COMPANY

Surplus Lines Insurer - Not Licensed in South Carolina. Not Protected by the South Carolina Insurance Guaranty Association.  
Underwriting Office: 501 Grant Street, Union Trust Building, Suite 1900, Pittsburgh, PA 15219  
NAIC No. 39152 | Surplus Lines Broker Licence SC-SL-114882

MANUFACTURING PROPERTY POLICY - DECLARATIONS

POLICY NUMBER: CP-2210-55870  
POLICY PERIOD: From 09/01/2024 to 09/01/2025, 12:01 A.M. at the address of the Named Insured  
ISSUED: 08/19/2024  
EXPIRING POLICY: CP-2210-55869

NAMED INSURED: Fairmount Textile Mills Holdings, Inc.  
and all subsidiary, affiliated and associated companies as now or hereafter constituted,  
including but not limited to:  
Fairmount Weaving Company, LLC  
Piedmont Dye & Finish, LLC  
Fairmount Technical Fabrics, Inc.  
MAILING ADDRESS: 1180 Woodruff Industrial Road  
Greenville, SC 29607  
OPERATIONS: Weaving, dyeing and finishing of technical and industrial textiles; coated fabrics  
NAICS: 313310 - Textile and Fabric Finishing Mills  
  
BROKER OF RECORD: Ridgeway Kessler Brokerage Services (Wholesale)  
Producer Code PA-4471-W  
Broker Reference: RK/MFG/2024/2210  
Retail Producer: Carolina Benefit & Risk Advisors, Greenville, SC  
Broker Contact: Priya Raghunathan-Lowe | (864) 555-0913 | praghunathan@ridgewaykessler.example

INSURED LOCATIONS

LOC 1 - Woodruff Road Mill Complex (primary manufacturing)  
1180 Woodruff Industrial Road, Greenville, SC 29607 (Greenville County)  
Buildings:  
1A Weave Room 212,000 sq ft Masonry Non-Combustible 1962/renov. 2015  
1B Dye House and Finishing 104,500 sq ft Non-Combustible 1974  
1C Boiler House and Utilities 11,800 sq ft Fire Resistive 1998  
1D Warehouse and Shipping 88,000 sq ft Metal Frame 2007  
1E Administration and Lab 22,300 sq ft Joisted Masonry 1988  
Full wet-pipe sprinkler protection, ESFR in 1D; Protection Class 3; on-site fire brigade  
Diesel fire pump, 2,500 gpm, tested annually  
  
LOC 2 - Pelzer Finishing Annex  
204 Mill Race Avenue, Pelzer, SC 29669 (Anderson County)  
Building 2A: Coating and lamination, 46,000 sq ft, Non-Combustible, 1991  
Wet-pipe sprinkler; Protection Class 5  
  
LOC 3 - Offsite Finished Goods Warehouse (leased space, tenant improvements only)  
3300 Old Buncombe Road, Bay 14, Greenville, SC 29609  
Contents only - no building coverage

LIMITS OF LIABILITY

|                                                                       |               |
|-----------------------------------------------------------------------|---------------|
| POLICY LIMIT - PER OCCURRENCE, ALL COVERAGES, ALL LOCATIONS COMBINED: | \$ 85,000,000 |
| Real Property (Blanket, LOC 1 and LOC 2)                              | Included      |
| Machinery, Equipment and Personal Property (Blanket)                  | Included      |
| Stock - Raw Materials, Work in Process, Finished Goods (Blanket)      | Included      |
| Tenant Improvements and Betterments (LOC 3)                           | \$ 950,000    |
| Business Interruption - Gross Earnings, 18 month indemnity period     | \$ 32,000,000 |
| Extra Expense                                                         | \$ 4,000,000  |
| Contingent Business Interruption - named suppliers (see Schedule S-1) | \$ 6,000,000  |

Valuation: Replacement Cost for real and personal property; Stock at Selling Price less unincurred expenses for finished goods, and at Replacement Cost for raw materials and work in process.  
Coinsurance: None - Agreed Value Clause applies, Statement of Values dated 07/22/2024.

**SUBLIMITS (per occurrence unless otherwise stated, part of and not in addition to the Policy Limit):**

|                                                                         |                                                |
|-------------------------------------------------------------------------|------------------------------------------------|
| Flood - Zone X locations only, LOC 1 and LOC 2                          | \$ 10,000,000 ann. aggregate                   |
| Flood - Special Flood Hazard Area (Zone A/AE)                           | NOT COVERED                                    |
| Earth Movement                                                          | \$ 10,000,000 ann. aggregate                   |
| Equipment Breakdown / Machinery Accident                                | \$ 25,000,000                                  |
| Errors and Omissions (property values reporting)                        | \$ 2,500,000                                   |
| Ordinance or Law - Coverage A                                           | Included                                       |
| Ordinance or Law - Coverages B and C combined                           | \$ 7,500,000                                   |
| Debris Removal                                                          | 25% of loss or \$ 5,000,000, whichever is less |
| Expediting Expenses                                                     | \$ 2,000,000                                   |
| Service Interruption - Property Damage and Time Element combined        | \$ 5,000,000 (12 hr qualifying)                |
| Ingress / Egress and Civil Authority                                    | \$ 2,500,000 / 30 consecutive days             |
| Course of Construction / Alterations and Additions at insured locations | \$ 3,000,000                                   |
| Property in Transit                                                     | \$ 1,500,000                                   |
| Unnamed Locations                                                       | \$ 2,000,000                                   |
| Accounts Receivable                                                     | \$ 2,000,000                                   |
| Valuable Papers, Records and Electronic Data                            | \$ 1,000,000                                   |
| Pollutant Cleanup and Removal                                           | \$ 250,000 ann. aggregate                      |
| Fire Brigade and Extinguishing Expense                                  | \$ 250,000                                     |
| Fine Arts and Company Archives                                          | \$ 100,000                                     |
| Professional Fees / Claim Preparation                                   | \$ 250,000                                     |
| Mold, Fungus and Bacteria resulting from a covered peril                | \$ 100,000 ann. aggregate                      |

**DEDUCTIBLES**

|                                                             |                                                        |
|-------------------------------------------------------------|--------------------------------------------------------|
| All Other Perils, combined Property Damage and Time Element | \$ 250,000 per occurrence                              |
| Fire and Explosion                                          | \$ 250,000 per occurrence                              |
| Named Windstorm                                             | 2% of TIV at the affected location, minimum \$ 500,000 |
| Flood                                                       | \$ 1,000,000 per occurrence                            |
| Earth Movement                                              | \$ 1,000,000 per occurrence                            |
| Equipment Breakdown - Property Damage                       | \$ 250,000                                             |
| Equipment Breakdown - Time Element                          | 24 hours                                               |
| Business Interruption / Time Element                        | 48 hour qualifying period, then actual loss sustained  |
| Water Damage - non-weather, including sprinkler leakage     | \$ 500,000 per occurrence                              |
| Boiler and Pressure Vessel                                  | \$ 250,000                                             |

**PERILS INSURED**

All risks of direct physical loss of or damage to insured property occurring during the policy period, except as excluded. Perils specifically contemplated include fire, lightning, explosion (including combustion explosion in the boiler house subject to the boiler deductible), windstorm, hail, tornado, riot, strike and civil commotion, vandalism and malicious mischief, aircraft and vehicle impact, sprinkler leakage, water damage from the accidental discharge of any plumbing, process, steam or fire protection system, collapse, smoke, theft and burglary, and machinery breakdown as endorsed.

**EXCLUSIONS**

This policy does not insure against:

1. Loss arising from a defect, fault or error in design, plan, specification, materials or workmanship; however, resulting physical damage from an insured peril is covered.
2. Wear, tear, gradual deterioration, depletion, rust, corrosion, erosion, cavitation, embrittlement, inherent vice or latent defect.
3. Shrinkage, evaporation, loss of weight, change in flavour, texture, colour or finish, unless resulting from an insured peril.
4. Loss of or damage to property undergoing any process of heating, drying, curing, dyeing or thermal treatment, if caused by that process; however, resulting fire damage to other property is covered.
5. Faulty or inadequate maintenance, including failure to maintain fire protection equipment.
6. Settling, cracking, shrinking, bulging or expansion of foundations, floors, walls, roofs or pavements.
7. Mysterious disappearance, unexplained loss, or shortage disclosed on taking inventory.
8. Dishonest or fraudulent acts of any insured, employee, or any person to whom property is entrusted.
9. Loss or damage caused by or resulting from any electronic data corruption, computer virus, ransomware,

- denial of service, or unauthorised network access (Cyber Exclusion ACR-CYB 501), except ensuing physical damage from fire, explosion or sprinkler leakage.
10. Contamination, including but not limited to pollution, asbestos, lead, PFAS and per- and polyfluoroalkyl substances (ACR-PFAS 512), and any cost of testing, monitoring or remediation.
  11. Loss of market, loss of use, delay, or any other consequential loss except as expressly insured under the Time Element sections.
  12. Communicable disease, pandemic, epidemic or fear thereof (ACR-CD 522).
  13. War, terrorism (unless TRIA elected), nuclear reaction, radiation or radioactive contamination.
  14. Any loss occurring while the insured location has been unoccupied or idle for more than ninety (90) consecutive days, unless declared to and accepted by the Company in writing.
  15. Seepage or contamination that occurs over a period of more than 30 days.

#### ENDORSEMENTS AND SCHEDULES ATTACHED

ACR-PROP 001 (07-23) Manufacturing All Risk Property Coverage Form  
 ACR-TE 110 (07-23) Time Element - Gross Earnings and Extra Expense  
 ACR-CBI 118 (07-23) Contingent Business Interruption - Schedule S-1 (named suppliers: Carolina Yarn Traders LLC, Aiken Polymer Additives Inc., Duke Energy Progress substation feed)  
 ACR-EB 205 (07-23) Equipment Breakdown / Machinery Accident  
 ACR-FLD 320 (07-23) Flood Coverage - Zone X only, with SFHA exclusion  
 ACR-EQ 325 (07-23) Earth Movement Coverage  
 ACR-ORD 275 (07-23) Ordinance or Law  
 ACR-SVC 280 (07-23) Service Interruption - Named Utilities  
 ACR-CYB 501 (01-24) Cyber Incident Exclusion with Physical Damage Write-Back  
 ACR-PFAS 512 (01-24) PFAS and Perfluorinated Compounds Exclusion  
 ACR-CD 522 (01-24) Communicable Disease Exclusion  
 ACR-PROT 601 (07-23) Protective Safeguards - Sprinkler, Fire Pump and Hot Work Permit Warranty  
 ACR-LP 505 (07-23) Loss Payable Provisions  
 ACR-SL SC (07-24) South Carolina Surplus Lines Notice and Amendatory  
 ACR-TRIA 900 (01-21) Terrorism Risk Insurance Act - Coverage ACCEPTED

#### PROTECTIVE SAFEGUARDS AND HOT WORK WARRANTY (ACR-PROT 601)

It is warranted by the Insured that:

- (a) All automatic sprinkler systems, the diesel fire pump and the private fire main at LOC 1 will be maintained in complete working order and inspected in accordance with NFPA 25;
- (b) A written hot work permit system meeting NFPA 51B will be enforced at all locations, including a 35-foot clearance, assigned fire watch during the work and for a minimum of sixty (60) minutes after the work ends, and a documented final check thirty (30) minutes thereafter;
- (c) Lint and fibre accumulation in the Weave Room and in all dust collection ductwork will be removed on a documented schedule not less frequently than weekly;
- (d) Any impairment of fire protection exceeding eight (8) hours will be reported to the Company and to the central station within twenty-four (24) hours.

Failure to comply with any of the above voids coverage for loss arising from or contributed to by such failure.

#### LOSS PAYEES AND ADDITIONAL INTERESTS

Loss Payee - all locations, first position:

Piedmont Southern Capital Bank, as Administrative Agent  
 Credit Agreement dated 04/11/2022, 100 North Main Street, Greenville, SC 29601

Loss Payee - Machinery at LOC 1 Building 1B (jet dyeing machines, 6 units):

Hanseatic Equipment Finance GmbH (US Branch), Lease Schedule HEF-SC-2023-0119

#### CLAIM CONDITIONS AND REPORTING REQUIREMENTS

1. NOTICE. The Insured shall report to the Company, as soon as practicable and in any event within forty-eight (48) hours of discovery, any loss or occurrence that may reasonably be expected to exceed fifty percent (50%) of the applicable deductible. Notice shall be given to:  
 Allegheny Commercial Risk - Complex Property Claims  
 firstnotice@alleghenycommercialrisk.example | (888) 555-0177 (24 hour)  
 Claims Manager, Southeast Region: T. Okonkwo-Brandt
2. PRESERVATION OF EVIDENCE. The Insured shall preserve all damaged and undamaged property, machinery,

control records and electronic logs relevant to the loss, and shall not dispose of any such property without the Company's written consent, until the Company or its representatives have had a reasonable opportunity to inspect.

3. MITIGATION. The Insured shall take all reasonable and necessary steps to protect insured property from further damage and to resume operations. Reasonable expenses so incurred are payable under Extra Expense.
4. PROOF OF LOSS. A signed and sworn statement of loss shall be filed within ninety (90) days of the date of loss unless extended in writing by the Company.
5. PARTIAL PAYMENTS. Where liability is not in dispute, the Company will advance partial payments on account within thirty (30) days of the Insured's written request supported by documentation.
6. SUIT LIMITATION. No suit shall be maintainable unless commenced within twenty-four (24) months of the date of the physical loss or damage.
7. PREMIUM. Annual premium \$ 1,268,400, plus South Carolina surplus lines tax 6% and stamping fee 0.1%. Minimum earned premium at inception: 25%.

Signed on behalf of Allegheny Commercial Risk Company:

\_\_\_\_\_  
Authorised Signatory

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Vice President, Property Underwriting